IL Critical Illness Benefit Advance Rider (U170)

(IL Unit Deduction Rider – Investment Linked Insurance Plan)

Plan Name : **IL Critical Illness Benefit Advance Rider**
Product Abbreviation : IL CIBAR
Launch Date : 16 Jan 2020

PLAN DESCRIPTION

a) This is a unit deduction rider that is attachable to the following basic plans:
- SmartProtect Legacy Max (Plan Code: 0494)
- SmartProtect Wealth Max (Plan Code: 0537)
- *SmartProtect Wealth 20 (Plan Code:0497)

Any future plans that the Company may introduce from time to time *(Note: Please refer to the PWU of the basic plan on which this rider can be attached to.)*
**Withdrawn Plans (for Inclusion of Rider at CS Stage)*

b) The rider's SA will accelerate the basic plan's Basic Sum Assured (BSA).
c) Insurance charge will be deducted from the unit fund.
d) This rider can be attached at any time effective at next monthly due.
e) This rider is subject to Medical and Health Insurance (MHI) guideline.

BENEFITS

If the Life Assured is diagnosed as suffering from any one of the covered event listed below, the Company will pay according to the table below and the BSA will be reduced by the amount paid.

The policy's Total Investment Value (TIV) will reduce according to the formulas in the table below.

Claim	**CI Payout**	**Deduction of TIV amount after CI claim**	
Angioplasty	10% of rider sum assured, subject to a maximum of RM25,000 per life = RM25,000* *since the min rider sum assured is RM350,000	Angioplasty payout (RM25,000) – Min(10% x rider Net Sum Assured, RM25,000)	
All covered event except for Angioplasty	Rider sum assured – any Angioplasty payout	**If BSA > TIV** Max(proportionate TIV – any TIV amount deducted due to Angioplasty claim, 0)	**If BSA <= TIV** Rider SA – Angioplasty payout (if any)
Rider Net Sum Assured = Max (rider SA – proportionate TIV, 0) where proportionate TIV = rider SA / BSA x TIV			

Refer to Appendix 2 for examples on the calculation of TIV deduction.

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Notes:

(a) A 30/60 days waiting period shall apply, depending on the types of covered event as per the list below.

(b) This benefit is subject to RM5,000,000 critical illness limit on any one life under all policies (excluding Bancassurance and Group policies) issued by the Company.

(c) After the claim on Angioplasty, the basic COI calculation will be based on the reduced basic sum assured but the rider COI calculation will be based on the original rider sum assured (before claim). In addition, the claim on the listed covered event will still be allowed, subject to the balance amount of the rider sum assured.

(d) Upon full CI claim and if the reduced BSA is zero, the policyholder has the option of surrendering the TIV or leave it with the Company (provided that IL Premium Waiver on CI Rider (U101) or IL Premium Waiver Extra Rider (U102) or other riders are attached). However, if there is insufficient TIV left in the policy, the Company will retain an amount from the CI payout (TIV portion) so that the policy is able to sustain until waiver kicks in.

The list of covered event is as follows:

COVERED EVENT LIST		**Waiting Period**
1	Alzheimer's Disease / Severe Dementia	30 days
2	Angioplasty and other invasive treatments for coronary artery disease	60 days
3	Apallic syndrome (ie. Persistent Vegetative State (PVS))	30 days
4	Bacterial Meningitis - *resulting in permanent inability to perform Activities of Daily Living*	30 days
5	Benign Brain Tumor – *of specified severity*	30 days
6	Blindness – Permanent and Irreversible	30 days
7	Brain Surgery	30 days
8	Cancer – *of specified severity and does not cover very early cancers*	60 days
9	Cardiomyopathy – *of specified severity*	30 days
10	Chronic Aplastic Anemia - *resulting in permanent Bone Marrow Failure*	30 days
11	Chronic Relapsing Pancreatitis	30 days
12	Coma – *resulting in permanent neurological deficit with persisting clinical symptoms*	30 days
13	Coronary Artery By - Pass Surgery	60 days
14	Creutzfeldt-Jakob Disease (Mad Cow Disease)	30 days
15	Deafness – Permanent and Irreversible	30 days
16	Elephantiasis	30 days
17	Ebola Haemorrhagic Fever	30 days
18	Encephalitis – *resulting in permanent inability to perform Activities of Daily Living*	30 days
19	End-Stage Liver Failure	30 days
20	End-Stage Lung Disease	30 days
21	Full-blown AIDS	30 days
22	Fulminant Viral Hepatitis	30 days
23	Heart Attack – *of specified severity*	60 days

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24	Heart Valve Surgery	30 days
25	HIV Infection Due To Blood Transfusion	30 days
26	Kidney Failure – *requiring dialysis or kidney transplant*	30 days
27	Loss of Independent Existence	30 days
28	Loss of Speech	30 days
29	Major Head Trauma - *resulting in permanent inability to perform Activities of Daily Living*	30 days
30	Major Organ / Bone Marrow Transplant	30 days
31	Medullary Cystic Disease	30 days
32	Meningeal Tuberculosis	30 days
33	Motor Neuron Disease – *permanent neurological deficit with persisting clinical symptoms*	30 days
34	Multiple Sclerosis	30 days
35	Muscular Dystrophy	30 days
36	Occupationally Acquired Human Immunodeficiency Virus (HIV) Infection	30 days
37	Paralysis of limbs	30 days
38	Parkinson's Disease – *resulting in permanent inability to perform Activities of Daily Living*	30 days
39	Poliomyelitis	30 days
40	Primary Pulmonary Arterial Hypertension – *of specified severity*	30 days
41	Progressive scleroderma	30 days
42	Rabies	30 days
43	Serious Coronary Artery Disease	60 days
44	Severe Eisenmenger's Syndrome	30 days
45	Severe Haemophilia	30 days
46	Stroke – *resulting in permanent neurological deficit with persisting clinical symptoms*	30 days
47	Surgery to Aorta	30 days
48	Systemic Lupus Erythematosus With Severe Kidney Complications	30 days
49	Terminal Illness	30 days
50	Third Degree Burns – *of specified severity*	30 days

The following lien shall apply for child before age 5 years next birthday.

Age Next Birthday on Policy Anniversary Preceding occurrence of critical illness	**Covered Event Benefit**
1	20% of rider sum assured
2	40% of rider sum assured
3	60% of rider sum assured
4	80% of rider sum assured

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UNDERWRITING

Minimum/Maximum Sum Assured

Minimum : RM500,000
Maximum : Basic Sum Assured, subject to underwriting

Note:
This benefit is subject to RM5,000,000 critical illness limit on any one life under all policies (excluding Bancassurance and Group policies) issued by the Company.

Minimum/Maximum Age at Entry

Minimum : 14 days attained age
Maximum : 65 years next birthday

Coverage Term

Follow term of basic plan or until 99 years next birthday, whichever is lower.

CS Inclusion for SmartProtect Legacy Max, SmartProtect Wealth Max (Plan Code: 0537) and SmartProtect Wealth 20

For CS inclusion of this rider during the premium payment term (PPT), the increased premium will be treated as Great Saver Rider (GSR); after PPT, it will be treated as Single Premium Top-up (SPTU), follow basic plan.

Non-Medical Limits

As the benefit payout accelerates the basic sum assured, the rider sum assured is not accounted again for non-medical limits calculation.

CHANGES IN SUM ASSURED

Increase / Decrease in Sum Assured

The rider sum assured can be increased / decreased **BEFORE** any claim is admitted under this rider. Once a claim is admitted under this rider, no change in the sum assured is allowed.

Partial Withdrawal of basic plan

Upon partial withdrawal of the basic plan, the rider sum assured will be reduced by the Proportionate withdrawal of Total Investment Value.

Proportionate withdrawal of Total Investment Value
= (IL CIBAR Sum Assured / Basic Sum Assured) * Total Investment Value withdrawal amount

However, if the sum assured of IL CIBAR is reduced to lower than RM6,000 after the partial withdrawal of the basic plan, the sum assured of IL CIBAR will be set to RM6,000.

Example 1:

A policy with BSA=RM1,000,000, IL CIBAR sum assured=RM500,000, TIV=RM200,000 Policyholder request to exercise partial withdrawal of RM100,000.

Thus,
BSA is reduced to RM1,000,000 – RM100,000 = RM900,000
IL CIBAR sum assured is reduced to RM500,000 – 0.5*RM100,000 = RM450,000 Remaining
TIV is RM200,000 – RM100,000 = RM100,000.

Example 2:
A policy with BSA=RM500,000, IL CIBAR sum assured=RM500,000, TIV=RM498,000 Policyholder request to exercise partial withdrawal of RM495,000.

Thus,
BSA is reduced to RM500,000 – RM495,000 = RM5,000
IL CIBAR sum assured is reduced to RM500,000 – 1*RM495,000 = RM5,000 Remaining
TIV is RM498,000 – RM495,000 = RM3,000.

However, as the BSA and IL CIBAR sum assured is lower than RM6,000 after partial withdrawal, the BSA and IL CIBAR sum assured for this policy will be set to RM6,000.

DISCOUNT

Large Sum Discount / Female Discount / Non-Smoker Discount Not applicable.

INSURANCE CHARGE

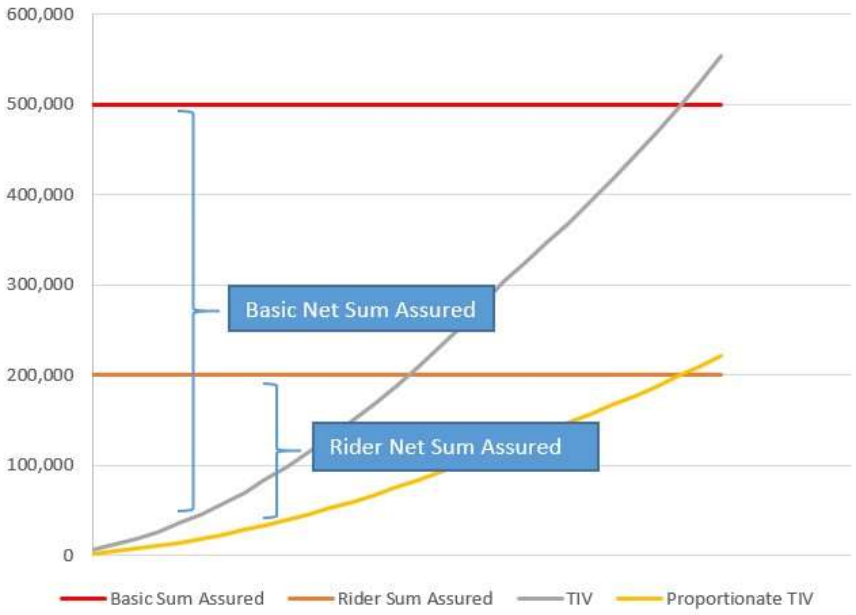
1. Insurance charge will vary according to attained age next birthday at last policy anniversary, gender and smoking status of the Life Assured.

2. Insurance charge will be deducted in respect of Net Sum Assured.
   Rider Net Sum Assured = Max (rider SA – proportionate TIV, 0)

   where proportionate TIV = rider SA / BSA x TIV

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3. The monthly insurance charges are calculated as the Net Sum Assured times one twelfth of the risk rates corresponding to the attained age.

4. These charges will be deducted by selling units already allocated to the Policy, at the NAV on the next Valuation Date following the due date of the insurance charges.

OTHER PRODUCT FEATURES

1. Cash Surrender Value / Partial Surrender / Policy Loan / Automatic Premium Loan / Extended Term Assurance / Paid-up Assurance / Replacement of Policies / Option to Buyback / Backdating

Not applicable.

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2. Free-look Period

Policyholder is allowed to cancel this rider within 15 days. Under such circumstance, the Company will reinstate the units which have been deducted for the payment of Insurance Charge after net of medical expenses incurred by the Company (if any) in the issuance of this rider.

3. Assignment / Third Party Policy / Nomination / Reinstatement Follow basic plan.

EXCLUSIONS

The Company will not pay any benefit under this rider as a result of, including the consequences of, any of the following: -

1. has existed prior to the Risk Effective Date; or
2. is caused directly or indirectly by self-inflicted injuries, while sane or insane; or
3. is resulted from the Life Assured committing, attempting or provoking an assault or a felony or from any violation of law by Life Assured; or
4. is resulted from war, whether declared or undeclared.

Note: The exclusion list may not exhaustive. For full list of the exclusions, please refer to the policy contract.

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APPENDIX 1: INSURANCE CHARGES TABLE

Attained Age	Male		Female	
	Smoker	Non-Smoker	Smoker	Non-Smoker
1-18	0.34	0.34	0.34	0.34
19	0.36	0.34	0.34	0.34
20	0.39	0.34	0.34	0.34
21	0.40	0.36	0.35	0.34
22	0.41	0.38	0.36	0.34
23	0.42	0.39	0.37	0.35
24	0.45	0.41	0.38	0.36
25	0.46	0.42	0.39	0.37
26	0.50	0.45	0.41	0.39
27	0.53	0.46	0.45	0.40
28	0.56	0.48	0.46	0.41
29	0.61	0.50	0.47	0.43
30	0.67	0.54	0.51	0.46
31	0.73	0.56	0.54	0.48
32	0.79	0.61	0.60	0.50
33	0.86	0.67	0.64	0.54
34	0.95	0.73	0.68	0.56
35	1.05	0.77	0.73	0.61
36	1.16	0.85	0.84	0.67
37	1.36	0.93	0.93	0.73
38	1.56	1.03	1.03	0.77
39	1.81	1.14	1.17	0.85
40	2.08	1.35	1.38	0.93
41	2.39	1.55	1.56	1.03
42	2.73	1.80	1.81	1.15
43	3.09	2.05	2.07	1.36
44	3.40	2.28	2.39	1.55
45	3.74	2.72	2.59	1.81
46	4.10	2.96	2.92	2.07
47	4.46	3.40	3.30	2.38
48	4.93	3.80	3.71	2.75
49	5.49	4.30	4.10	3.09
50	6.15	4.90	4.46	3.48
51	6.82	5.34	4.93	3.89
52	7.38	5.89	5.49	4.30

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53	7.88	6.35	6.15	4.91
54	8.66	6.65	6.72	5.34
55	9.53	7.04	7.18	5.76
56	10.22	7.47	7.71	6.32
57	11.38	8.09	8.46	6.59
58	12.42	8.87	9.33	6.94

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Attained Age	Male		Female	
	Smoker	**Non-Smoker**	**Smoker**	**Non-Smoker**
59	13.79	9.40	10.12	7.44
60	15.46	10.04	11.08	8.07
61	16.15	10.79	12.42	9.40
62	16.84	11.61	13.97	10.03
63	19.13	12.35	15.46	10.70
64	19.86	13.09	16.77	11.36
65	21.38	16.03	18.07	12.02
66	22.70	18.40	19.13	13.02
67	23.53	19.04	20.19	13.95
68	25.91	19.85	21.38	15.53
69	28.19	20.14	22.70	17.60
70	30.52	20.35	23.53	18.14
71	32.33	21.10	25.91	18.95
72	34.05	21.44	28.19	19.14
73	34.56	22.11	30.52	19.35
74	35.07	22.42	32.33	20.10
75	36.86	23.51	34.05	20.44
76	38.72	24.65	34.56	21.11
77	41.93	25.61	35.07	21.42
78	46.02	28.11	36.86	22.51
79	47.76	29.17	38.72	23.65
80	49.38	30.16	41.93	25.61
81	51.20	31.27	46.02	28.11
82	52.92	32.32	47.76	29.17
83	62.12	37.94	49.38	30.16
84	63.44	38.75	51.20	31.27
85	64.77	39.56	52.92	32.32
86	66.08	40.36	62.12	37.94
87	66.37	40.54	63.44	38.75
88	67.45	41.20	64.77	39.56
89	68.07	41.58	66.08	40.36

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90	68.70	41.96	66.37	40.54
91	69.32	42.34	67.45	41.20
92	69.94	42.87	68.07	41.58
93	70.57	47.79	68.70	41.96
94	71.19	52.96	69.32	42.34
95	79.91	59.29	69.94	42.87
96	90.81	67.37	70.57	47.79
97	104.34	77.45	71.19	52.96
98	121.26	90.02	79.91	59.29
99	140.72	105.74	90.81	67.37

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APPENDIX 2: CLAIMS SCENARIO

Example 1: Different sum assured for basic and rider (without Angioplasty claim); BSA > TIV
Basic Sum Assured = RM1,250,000
IL CIBR (SAR) SA = RM500,000
Life Assured: 30MNS

PY	TIV	Proportionate TIV	Claim	Benefit Payout

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Policy Year 10	RM300,000	rider SA / BSA x TIV = RM500,000/ RM1,250,000 x RM300,000 = RM120,000	Cancer	CI Payout = 100% * rider SA = RM500,000 Deduction of TIV = Max(proportionate TIV – any TIV amount deducted due to Angioplasty claim, 0) = RM120,000 – 0 = RM120,000 In a nutshell, → CI payout = RM500,000 → IL CIBR (SAR) will be terminated. → COI calculation for basic plan will be based on reduced sum assured of RM750,000. → Policy continues with remaining TIV of RM180,000

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Example 2: Same sum assured for basic and rider (without Angioplasty claim); TIV > BSA
Basic Sum Assured = RM500,000
IL CIBR (SAR) SA = RM500,000
Life Assured: 30MNS

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PY	TIV	Proportionate TIV	Claim	Benefit Payout
Policy Year 10	RM800,000	rider SA / BSA x TIV = RM500,000 / RM500,000 x RM800,000 = RM800,000	Cancer	CI Payout = 100% * rider SA = RM500,000 Deduction of TIV = Rider SA – Angioplasty payout, if any = RM500,000 - 0 = RM500,000 In a nutshell, → CI payout = RM500,000 → Policy will be terminated. → Remaining TIV of RM300,000 will be paid out.
Total CI Payout = RM500,000				

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Example 3: Same sum assured for basic and rider (without Angioplasty claim); BSA > TIV

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Basic Sum Assured = RM500,000
IL CIBR (SAR) SA = RM500,000
Life Assured: 30MNS

PY	TIV	Proportionate TIV	Claim	Benefit Payout
Policy Year 10	RM300,000	rider SA / BSA x TIV = RM500,000 / RM500,000 x RM300,000 = RM300,000	Cancer	CI Payout = 100% * rider SA = RM500,000 Deduction of TIV = Max(proportionate TIV – any TIV amount deducted due to Angioplasty claim, 0) = Max(RM300,000 – 0, 0) = RM300,000 In a nutshell, → CI payout = RM500,000 → Policy will be terminated.
Total CI Payout = RM500,000				

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Example 4: Different sum assured for basic and rider (with Angioplasty claim)

Basic Sum Assured = RM1,250,000
IL CIBR (SAR) SA = RM500,000
Life Assured: 30MNS

PY	TIV	Proportionate TIV	Claim	Benefit Payout

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Policy Year 10	RM800,000	rider SA / BSA x TIV = RM500,000 / RM1,250,000 x RM800,000 = RM320,000	Angioplasty	CI Payout = Min (10%* RM500,000, RM25,000) = <u>RM25,000</u> Deduction of TIV from Angioplasty claim = Angioplasty Payout – Min(10% x rider Net Sum Assured, RM25,000) = RM25,000 – Min(10% x (RM500,000 – RM320,000), RM25,000) = RM25,000 - RM18,000 = RM7,000 In a nutshell, → CI payout = RM25,000 → Policy continues with remaining TIV of RM793,000. → COI calculation for basic plan will be based on reduced sum assured of RM1,225,000. → COI calculation for IL CIBR (SAR) will be based on original sum assured of RM500,000.

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PY	TIV	Proportionate TIV	Claim	Benefit Payout

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Policy Year 11	RM793,000	rider SA / BSA x TIV = RM500,000/ RM1,250,000 x RM793,000 = RM317,200	Cancer	CI Payout = 100% * rider SA – Angioplasty payout = <u>RM475,000</u> Deduction of TIV = Max(proportionate TIV – any TIV amount deducted due to Angioplasty claim, 0) = Max(RM327,200 – RM7,000, 0) = RM317,200 – RM7,000 = RM310,200 In a nutshell, → CI payout = RM475,000 → IL CIBR (SAR) will be terminated. → COI calculation for basic plan will be based on reduced sum assured of RM750,000. → Policy continues with remaining TIV of RM482,800
Total CI Payout = RM25,000 + RM475,000 = RM500,000				

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Example 5: Child Lien (without Angioplasty claim); BSA > TIV

Rule of thumb:

1. Reduction in TIV after claim will be based on TIV payout after child lien
2. Reduction in other items (i.e. BSA) after claim will be based on payout before child lien

Basic Sum Assured = RM1,000,000
IL CIBR (SAR) SA = RM500,000
Life Assured: 1MNS

PY	TIV	Proportionate TIV	Claim	Benefit Payout

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Policy Year 4 (age 4nb)	RM100,000	rider SA / BSA x TIV = RM500,000 / RM1,000,000 x RM100,000 = RM50,000	Cancer	CI Payout = 100% * rider SA * child lien (80%) = <u>RM400,000</u> Deduction of TIV = Max(proportionate TIV – any TIV amount deducted due to Angioplasty claim, 0) * child lien = RM40,000 In a nutshell, → CI payout = RM400,000 → IL CIBR (SAR) will be terminated. → COI calculation for basic plan will be based on reduced sum assured of RM500,000. → Policy continues with remaining TIV of RM60,000
Total CI Payout = RM400,000				

<u>Example 6: Child Lien (with Angioplasty claim)</u>

Rule of thumb:

1. Reduction in TIV after claim will be based on TIV payout <u>after</u> child lien
2. Reduction in other items after claim will be based on payout <u>before</u> child lien

Basic Sum Assured = RM800,000
IL CIBR (SAR) SA = RM500,000

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Life Assured: 1MNS

PY	TIV	Proportionate TIV	Claim	Benefit Payout
Policy Year 1 (age 1nb)	RM200,000	rider SA / BSA x TIV = RM500,000/ RM800,000 x RM200,000 = RM125,000	Angioplasty	CI Payout = Min (10%* RM500,000, RM25,000) * child lien (20%) = RM5,000 Deduction of TIV from Angioplasty claim = (Angioplasty Payout (before child lien) – Min(10% x rider Net Sum Assured, RM25,000)) * child lien (20%) = (RM25,000 – Min(10% x (RM500,000 – RM125,000), RM25,000) * 20% = RM0 In a nutshell, → CI payout = RM5,000 → Policy continues with remaining TIV of RM200,000. → COI calculation for basic plan will be based on reduced sum assured of RM775,000. → COI calculation for IL CIBR (SAR) will be based on original sum assured of RM500,000.

PY	TIV	Proportionate TIV	Claim	Benefit Payout

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Policy Year 3 (age 3nb)	RM200,000	rider SA / BSA x TIV = RM125,000	Cancer	CI Payout = (100% * rider SA – Angioplasty payout (before child lien)) * child lien (60%) = (RM500,000 – RM25,000) x 60% = <u>RM285,000</u> Deduction of TIV = (Max(proportionate TIV – any TIV amount deducted due to Angioplasty claim (before child lien, 0)) * child lien (60%) = (Max(RM125,000 – RM0), 0)* 60% = RM75,000 In a nutshell, → CI payout = RM285,000 → IL CIBR (SAR) will be terminated. → COI calculation for basic plan will be based on reduced sum assured of RM300,000. → Policy continues with remaining TIV of RM125,000
Total CI Payout = RM5,000 + RM285,000 = RM290,000				